

Indian Economy

1. Status of Indian Economy: Pre-Independence Period (1850-1947):

- ◆ **Indian Economy (1850-1947):** The largest economy that controlled 1/3rd to 1/4th portion of world wealth.
- ◆ **Arthashastra** was written by Kautilya (321-296 BCE).

2. The Current State of the Indian Economy Government Measures to boost the sectors:

◆ **Primary Sector:**

- ◆ **100% FDI in Food Marketing:** Allowed under the automatic route.
- ◆ **PM KISAN:** Income support for farmers.
- ◆ **Minimum Support Price (MSP):** Fixed at 1.5 times the cost of production.
- ◆ **Institutional Credit:** Concessional rates for agriculture.
- ◆ **Launch of National Mission for Edible Oils:** Promoting domestic edible oil production.
- ◆ **Pradhan Mantri Fasal Bima Yojana (PMFBY):** Insurance scheme for crop loss/damage.
- ◆ **MIDH (Mission for Integrated Development of Horticulture):** Integrated Development of Horticulture.
- ◆ **Soil Health Cards:** Provision for farmers to assess soil quality.
- ◆ **Paramparagat Krishi Vikas Yojana (PKVY):** Promotes organic farming.
- ◆ **Agri Infrastructure Fund:** Debt financing for post-harvest and community farming projects.

- ◆ **Farmer Producer Organisations (FPOs):** Promotes better income through organisation.

- ◆ **Per Drop More Crop (PDMC):** Increases water use efficiency.

- ◆ **Micro Irrigation Fund:** Established to enhance irrigation.

- ◆ **Agricultural Mechanisation:** Various initiatives to modernise farming.

- ◆ **E-NAM:** Electronic trading portal for a unified national market for agricultural commodities.

- ◆ **Kisan Rail:** Enhances logistics for farm produce.

- ◆ **Start-up Ecosystem:** Creation in agriculture and allied sectors.

◆ **Secondary Sector:**

- ◆ **Goods and Services Tax (GST):** Replaced multiple taxes with a single tax (July 1, 2017).

- ◆ **Corporate Tax:** Reduced to 22% for domestic companies.

- ◆ **Make in India:** Launched in 2014, focus on investment, innovation, and infrastructure (27 sectors).

- ◆ **Ease of Doing Business:** Ranked 63rd (2020).

- ◆ **Single Window System:** One-stop shop for investor approvals.

- ◆ **PM Gati Shakti:** Multi-modal infrastructure to cut logistics costs.

- ◆ **NLP National Logistics Policy (NLP):** Lower logistics costs.

- ◆ **Production Linked Incentive Scheme (PLI):** Boost manufacturing and exports.

- ◆ **Industrial Corridors:** Develop greenfield regions.
- ◆ **Faster Adoption and Manufacturing of Hybrid and Electric Vehicles-India (FAME):** Promote electric vehicle tech.
- ◆ **Udyami Bharat:** Empower MSMEs.
- ◆ **PM Mega Integrated Textile Region and Apparel (PM MITRA):** Boost the textile sector with world-class infrastructure.
- ◆ **FDI:** 100% in coal mining, coal sales, and insurance intermediaries.
- ◆ **Foreign Investment Promotion Board (FIPB):** Simplified FDI approval, 39% increase.
- ◆ **Remission of Duties and Taxes on Export Products (RODTEP):** Boost exports with tax rebates.
- ◆ **Start-up India:** Rank 40th in Global Innovation Index.
- ◆ **The Emergency Credit Line Guarantee Scheme (ECLGS):** Emergency credit lines for lending institutions.
- ◆ **Focus:** Cloud computing, IoT, AI.
- ◆ **Manufacturing Policy:** Target 25% GDP share by 2025.

◆ **Tertiary Sector**

- ◆ **National Single Window System:** Investor facilitation.
- ◆ **FDI Policies:** 100% in telecom, 74% in insurance.

3. **NITI AAYOG:**

- ◆ The Planning Commission was replaced by the National Institution for Transforming India (NITI) Aayog.
- ◆ NITI Aayog is expected to serve as a 'Think Tank' of the government.
- ◆ **Its Key Initiatives:**
 - ◆ **LIFE:** Aims to replace the 'use-and-dispose' economy.
 - ◆ **The National Data and Analytics Platform (NDAP):** Improves access to Indian government data.
 - ◆ **Shoonya:** Promotes electric vehicles.
 - ◆ **E-Amrit:** One-stop platform for information.
 - ◆ **India Policy Insights (IPI):** Provides insights to shape India's policies.
 - ◆ **Methanol Economy:** Reduces oil imports and emissions, and converts waste into methanol.
 - ◆ **Transforming Gold Market:** Stimulates growth and exports.